Southern New Hampshire University

IT 253 Project One Company Overview

Your company designs, manufactures, and sells custom stereo equipment. It was founded in 1993 as a small family business with a single store and quickly expanded to over 250 locations due to high demand for its competitively priced, quality products. The company became publicly traded in 2005, which means that it is subject to Sarbanes-Oxley (SOX) regulations. It now has 850 employees with a reported annual revenue of $110 million.

Due to cost pressures from larger retailers, the company decided to close all its retail stores in 2015 and implement a fully online sales model. It has found a great niche market by targeting consumers who want a higher level of support and customized features compared to what its competitors offer. The company has a robust and easy-to-use e-commerce system that automatically sends sales order information to other parts of the company's information systems.

The company headquarters is in Detroit, Michigan, and includes the Human Resources, Finance, and Information Technology departments, along with the data center. Two offices in Sacramento, California, and Austin, Texas, support the Customer Service and Marketing departments. The company's engineering team is located in Frankfurt, Germany. The company's main manufacturing site is located in Beijing, China. The business serves customers from all around the world, with its highest sales coming from the United States and England.

Business Objectives

In the past year, the company has identified the need to take a stronger stance on protecting its assets and customer information and data. This stance is especially important because the company wants to expand its market significantly to reach a greater global audience in the coming year. Company leadership has decided on the following business objectives:

- Grow the market share by creating an extensive global advertising campaign to reach new audiences and showcase the company's product line.
- Increase revenue by 20% compared to the previous year.
- Put measures in place to minimize cyberattacks that would affect business operations.
    - This change impacts the availability of the e-commerce website and systems in the manufacturing supply chain.
    - Ransomware has been a topic of expressed concern.
- Ensure alignment between company policies and practices and SOX regulations to maintain compliance.

Sarbanes-Oxley Act of 2002

The SOX Act was passed to protect internal and external shareholders from accounting problems and purposeful financial fraud by companies. SOX was created to improve governance and accountability after the disastrous scandals at Enron, WorldCom, and Tyco, which caused a combined loss of over $280 billion to shareholders. SOX imposes both financial and criminal penalties for noncompliance.

For more information on the SOX Act and the scandals mentioned, review the articles in the module resources.

While SOX focuses on accounting and finance controls, several information technology and security concerns must also be addressed as well. Among these are:

- **Access**—This includes both physical access to facilities and electronic access to systems.
- **Change Control**—Processes must be in place to approve and record changes to the environment.
- **Backup**—Systems must be backed up at regular intervals and must be able to be restored.
- **Security**—Controls must exist to detect and stop data breaches, and tools must be in place to remediate incidents.